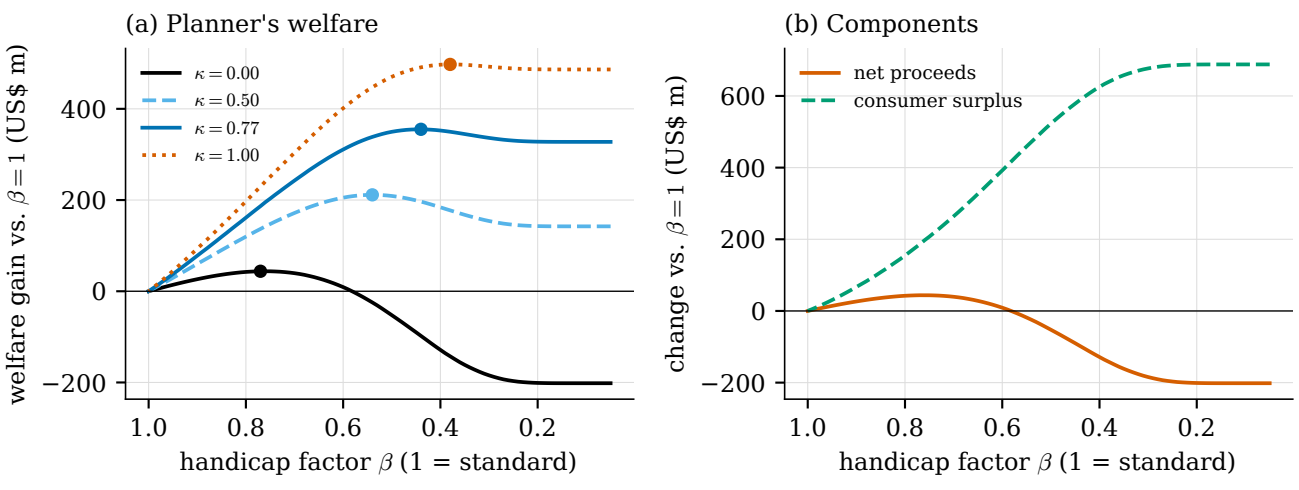
(a) Planner's welfare
$\kappa = 0.00$
$\kappa = 0.50$
$\kappa = 0.77$
$\kappa = 1.00$
welfare gain vs. $\beta = 1$ (US$ m)
400
200
0
−200
1.0
0.8
0.6
0.4
0.2
handicap factor β (1 = standard)
(b) Components
net proceeds
consumer surplus
change vs. $\beta = 1$ (US$ m)
600
400
200
0
−200
1.0
0.8
0.6
0.4
0.2
handicap factor β (1 = standard)